Midterm 1 – Information and Concepts

ECON 1001 – Spring 2026

Document status: Final (will not be updated again).

Last updated: February 5, 2026. I cut subsidy and few topics at the end. In lecture on 2/10, I will address deadweight loss, tax revenue, and where to identify them on a supply and demand diagram.

Midterm 1 will be held in-class on Thursday, February 12, 2026, and will cover the topics listed below.

No calculators may be used on the exam. (We will write the problems so only simple arithmetic is required.)

Students will be allowed a **"cheat sheet"**: a single double-sided 8.5" × 11" page of notes. You must submit this notes sheet with your exam. It must not include old exam problems. *The point of this rule is to reduce the incentive to cram tiny-font copies of previous problems and solutions. I may recycle a small number of problems, but I generally prefer to write new ones.*

Any updates to this list will be summarized above with the timestamp of the update. Check back periodically. I will freeze this document on February 5 and label it as final.

Lectures 1 and 2: Intro and Stevenson's and Wolfers's Core Principles

1. Ceteris paribus
2. Utility
3. Positive vs. normative statements
4. Cost-benefit principle
5. WTP
6. Economic surplus
7. Opportunity cost; the opportunity cost principle
8. Sunk costs; the sunk cost fallacy
9. Production possibility frontier; its relationship to (marginal) (opportunity) costs
10. "The marginal principle" (how individuals make "how many" decisions)
11. Marginal benefits; marginal costs
12. "The rational rule"
13. The interdependence principle; unintended consequences

Lecture 3: Demand

14. Demand function (represented as a table, a curve/line, an equation)

15. From MB curve to demand curve, and back
16. Law of demand; demand curve slopes down
17. Diminishing MB
18. Market demand and individual demand
19. Movement along vs shift in demand curve
20. Factors that shift demand curves
21. Normal and inferior goods
22. Complementary and substitute goods
23. Network and congestion effects

Lecture 4: Supply

24. Supply function (represented as a table, a curve/line, an equation)
25. Law of supply; supply curves slope up
26. Increasing marginal costs: what does this mean and why?
27. Inputs
28. Declining marginal product of inputs
29. Perfect competition
30. Price-takers
31. Fixed and variable costs
32. Rational rule for sellers in perfectly competitive markets
33. Factors that shift supply curve
34. Productivity; production technology
35. Substitutes-in-production, complements-in-productions
36. Movements along vs. shifts in supply curves

Lecture 5: Equilibrium

37. Equilibrium
38. Shortages and surpluses
39. Disequilibrium: what is it, why it matters, and how to recognize it
40. Shifts in curves and the effect on equilibrium price and quantity

Lecture 6: Elasticity

41. Elasticity
42. Price elasticity of demand
43. Arc elasticity and the midpoint formula: given two points, how to compute it
44. Relationship between slope and elasticity
45. Perfectly elastic and perfectly inelastic (price elasticity of) demand
46. Factors that affect the price elasticity of demand

47. Elasticity and revenue (and profit)
48. Cross-price elasticity of demand
49. Income elasticity of demand; luxury and necessity goods
50. Price elasticity of supply

Lectures 7 and 8: Welfare (Started 1/29, resuming 2/3)

51. Welfare
52. Efficiency
53. Equity
54. Efficiency-equity tradeoff
55. Consumer surplus, producer surplus, total economic surplus
56. Voluntary exchange; gains from trade
57. Efficient production
58. Efficient quantity
59. Efficient allocation
60. "Rational rule for markets"
61. ~~Market failure: what causes it~~
62. Deadweight loss

Lecture 9: Government Intervention (Upcoming on 2/3 or 2/5)

63. Tax ~~and subsidy~~
64. Tax incidence; statutory vs economic burden
65. Price ceiling/floor; binding vs. nonbinding
66. Mandates and quotas
67. Tax revenue